Larijani Dead

Israel confirms assassination of Iran's security chief as FOMC convenes and markets give back Monday's gains.

MARKETS

Monday's Green Tape Meets Tuesday's Body Bag.

Monday delivered the cleanest session since the war began—S&P +1.01%, Nasdaq +1.12%, UVXY –11.88%, all eleven sectors green. By Tuesday morning, futures gave most of it back. The catalyst: Israel confirmed the killing of Ali Larijani, Iran's security council secretary and the regime's last credible negotiator. A projectile struck a tanker off Fujairah overnight. Dubai Airport suspended flights again. Brent reversed its Monday pullback, climbing back to $102.57. The market priced in de-escalation for exactly one session.

STLD Guides Soft, Steel Story Shifts.

Steel Dynamics issued Q1 guidance that fell short of the street. The stock gained 2.16% Monday on tariff enthusiasm and the BlueScope bid narrative, but the underlying numbers tell a different story: steel fabrication backlogs are compressing and flat-rolled pricing power is fading as auto OEMs push back. Separately, analyst upgrades cite Section 232 tariff tailwinds. We own STLD for the dividend and the domestic infrastructure thesis, not tariff optionality. The BlueScope acquisition—if it closes—adds recycled steel capacity in Australia and Southeast Asia, which could diversify revenue. Worth watching guidance revisions through Q2.

SYK & TOL Lead Holdings, GPC Keeps Sinking.

Stryker surged 3.80% Monday, its biggest one-day move since January, recovering from the cyber-concern overhang. Medtech is getting a bid as the healthcare sector quietly outperforms during the war. Toll Brothers jumped 4.01%—the best in our Growth sleeve—as mortgage rates stabilized and valuations approached pre-war support. On the other end: GPC sank another 1.64%, now down 23% from its 52-week high. The auto-parts distributor faces margin compression from input costs and a consumer that's throttling discretionary spending. Three analyst downgrades in two weeks. This is the kind of name where *Avoid Erosion* matters.

FINV Posts & FTNT Prices.

FinVolution reported Q4 EPS of $1.72, sending FINV up 4.77% to $5.49. The China-based fintech lender is executing cleanly in a market no one wants to touch. Loan volume grew 18% YoY, and the company is returning capital aggressively via buybacks. At 3.2x trailing earnings, FINV remains our deepest value position. Fortinet unveiled FortiOS 8.0 at Accelerate 2026 alongside price increases across its firewall and SASE product lines—a sign of pricing power in cybersecurity. FTNT +1.26%. The convergence strategy is working: Fortinet is cross-selling security into networking budgets, expanding wallet share without expanding headcount.

Monday was relief. Tuesday is reality. The 200DMA at ~6,608 held last week and the bounce was legitimate, but buying a one-day rally into a decapitation strike and an FOMC meeting is not a strategy—it's a reflex. The next 24 hours are binary: the dot plot either validates the one-cut path or kills it. Simplicity Over Complexity—let the Fed speak before repositioning.

GEOPOLITICS

Day 18 — They Killed the Negotiator.

Israel's Defense Minister Katz confirmed overnight that Ali Larijani is dead. Former parliament speaker. Former nuclear negotiator. Secretary of Iran's Supreme National Security Council. And now, the highest-profile assassination since the elder Khamenei on Day 1. Iran has not confirmed the death, but state media went silent on Larijani programming for hours before running condolence chyrons. The Basij paramilitary commander was killed in the same strike wave. The decapitation campaign is no longer surgical—it is industrial. The regime's institutional memory is being erased person by person.

Iran Strikes Back at Gulf Neighbors.

Tehran retaliated not at Israel but at the Gulf states it views as complicit. Missile debris killed one in Abu Dhabi, injured two in Kuwait. A drone struck near Dubai International, suspending flights for the third time since the war began. A projectile hit a commercial tanker off Fujairah—the UAE's eastern oil export terminal. Iran is punishing the countries it suspects of providing intelligence or basing rights to the US-Israel campaign. This is the horizontal escalation scenario: the war is spreading geographically even as the Iranian command structure collapses vertically.

No Off-Ramp in Sight.

Before the strike, Mojtaba Khamenei had already rejected all intermediary ceasefire proposals. Now the man who might have been empowered to negotiate is dead. The Trump administration was warned by intelligence agencies that Iranian retaliation on Gulf allies was likely—and it happened within hours. Australia hiked rates to a 10-month high citing Iran-driven inflation risk, the first G20 central bank to explicitly blame the war for a rate decision. The conflict is now reshaping monetary policy globally.

ON OUR RADAR

1. The Fed speaks tomorrow at 2 PM ET and it's the only macro event that matters this week. The hold is locked in. The dot plot is the signal. If the median 2026 projection drops to zero cuts, the bond market sells hard and equity multiples compress immediately. If it holds at one cut and Powell threads language around "supply-side disruptions" being temporary, the bid returns. Watch whether the two January dissenters (who wanted a cut) become three—that would signal the committee is cracking under the weight of the growth shock.

2. Killing Larijani removed the regime's last diplomat. This is not Soleimani in 2020—a military commander whose death didn't collapse command and control. Larijani was the institutional bridge between the IRGC, the clerical establishment, and foreign negotiators. He ran the nuclear talks. He ran backchannel communications. With Mojtaba Khamenei reportedly injured in Moscow and Larijani dead, there is no one left with both the authority and the credibility to sign a deal. The war just got longer. *Think Like an Owner*—position for duration, not resolution.

3. Australia's rate hike is a canary. The RBA raised rates explicitly because Iran-driven energy costs are feeding into core inflation. If a commodity-exporting nation with its own oil production is hiking, imagine the pressure on import-dependent economies. The ECB meets April 3. The BoJ next week. Central banks that were dovish six weeks ago now face a stagflationary impulse they can't control. This is how wars reshape capital allocation globally—and why our US-centric, dividend-anchored positioning is the right structure.

4. QCOM's COMPUTEX keynote signals the next catalyst for mobile semis. CEO Cristiano Amon will deliver the opening keynote at COMPUTEX 2026. QCOM has been quiet while NVDA captures GTC headlines, but smartphone weakness is being offset by automotive and IoT. At $129.39 and 14x forward earnings, Qualcomm is one of the cheaper semiconductor names we own. The stock is down 28% from its high. If the auto/IoT diversification narrative gets a COMPUTEX stage, the multiple re-rates.

5. TE Connectivity's capital return pivot deserves attention. TEL is quietly engineering a shift—bigger dividend, larger buyback authorization, all funded by free cash flow from the connector business that touches every AI data center and EV platform. The stock rallied 2.03% Monday. At $203, TEL yields 1.8% with mid-teens FCF growth. This is the type of boring, cash-generative industrial name that compounds through volatility. *Simplicity Over Complexity.*

6. GIS reports this morning—watch it as a consumer staples barometer. General Mills is expected to post $0.73 EPS. The company is a proxy for how the American consumer is absorbing food inflation. If volumes hold while pricing passes through, staples get a bid. If volumes crack, the stagflation narrative intensifies. XLP was the weakest sector Monday at +0.28%. CL (+1.64%) and CHD (+0.48%) outperformed the sector, but the read-through from GIS matters for the entire sleeve. *Research Reveals Opportunities.*

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